

credit cards, you could look into consolidating the debt, or closing accounts without a balance. If you have one big savings pot with no purpose, and you keep dipping into it, you might like to look at creating separate pots with different goals, which is possible with lots of banks – both traditional and challenger – nowadays.

Make sure that you stay aware of your own capacity for keeping track of things, and try to automate as much as possible if you struggle to stay on top of manually managing payments. The simplest way to do this is to create standing orders to each of your different accounts, leaving your current account shortly after you get paid. This can be trickier for self-employed people and students, who might be paid at random times of the month or in lump sums, but if you're able to create a system where your income is as consistent and steady as possible, it will help your relationship with money to be less frantic. How you structure your finances is up to you, and every person's needs are individual to them, but keeping it as simple as possible is important if you're hoping to build positive and consistent habits.

Exercise: Create a structure for your finances

Take a blank piece of paper or notebook page, and first write down all of the different places where your money exists, including current accounts, savings, debts, investments, and even perhaps your pension pots. Draw lines